THE
ANNOUNCEMENT ROOM
ASX explained clearly

ASX: COL | COLES GROUP LIMITED | 30 OCTOBER 2026

2027 FIRST QUARTER SALES RESULTS

Coles is still growing sales, but more slowly, and expects flat first half Supermarkets EBIT

For the 13 weeks to 27 September 2026, Group sales revenue rose 2.2% to $11.2 billion and Supermarkets sales rose 3.6%. Comparable growth slowed to 2.7% from 4.6% a year earlier. Coles also said it now expects first half Supermarkets EBIT to be in line with the prior corresponding period, citing competitive pressure, investment in value and higher fuel-related costs.

$11,209m

Group sales revenue

Up 2.2% on $10,963m a year earlier

3.6%

Supermarkets sales growth

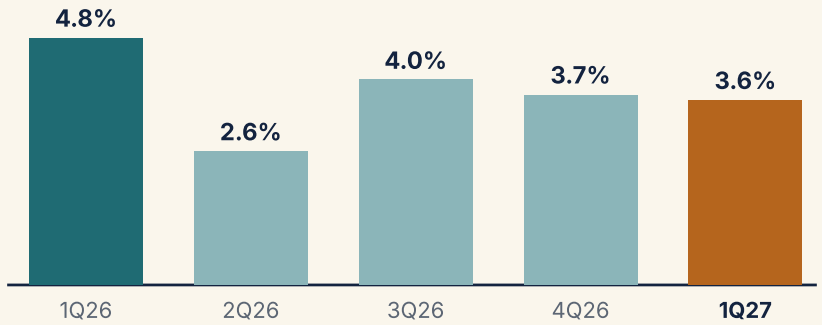
Comparable growth 2.7%, from 4.6% in 1Q26

Flat

1H27 Supermarkets EBIT

Expected in line with 1H26 (excludes significant items)

SUPERMARKETS SALES GROWTH BY QUARTER — REPORTED



2Q26 was a 14-week quarter and 3Q26 a 12-week quarter

Headline Supermarkets sales revenue growth, from Coles' own quarterly table (Appendix 3). Comparable sales growth, which strips out new and closed stores, was 2.7% in 1Q27 against 4.6% in 1Q26.

SALES REVENUE BY SEGMENT, $ MILLION — REPORTED

SEGMENT	1Q26	1Q27	CHANGE
Supermarkets	9,965	10,320	+3.6%
Liquor	842	831	-1.3%
Other	156	58	-62.8%
Group	**10,963**	**11,209**	**+2.2%**

TAR calculation: Group sales rose $246m. Supermarkets added $355m, Liquor lost $11m and Other lost $98m. That is why Group growth (2.2%) is below Supermarkets growth (3.6%).

What Coles reported

- Supermarkets sales revenue was $10,320m, up 3.6%. Coles puts the two-year growth rate at 10.7% excluding tobacco.
- eCommerce sales rose 22.9% to $1,623m, and penetration reached 15.7% from 13.3%.
- Exclusive to Coles sales rose 4.3%, with the Coles Finest tier up 13.3%.
- Liquor sales revenue fell 1.3% to $831m, in line with comparable sales. The convenience portfolio grew.

Easy to miss

- Other segment revenue was $58m against $156m a year ago. Coles says the $58m relates to its product supply agreement (PSA) with Viva Energy, with volumes declining as the PSA expires in November 2026.
- Coles said Supermarkets growth was partly offset by “heightened competitive and promotional activity”.
- The EBIT expectation is for first half Supermarkets EBIT, not the whole Group. No dollar amount is given in the release.

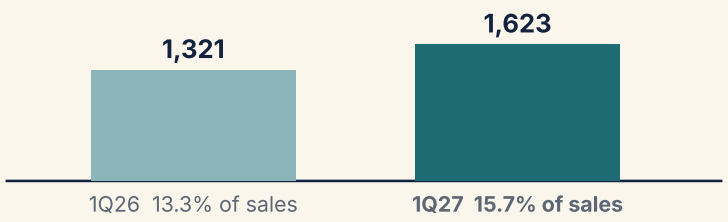
WHAT COLES GROUP DOES

Coles runs 878 supermarkets and 994 liquor stores in Australia, 1,872 stores in total at 27 September 2026. Its Other segment holds the Viva Energy supply arrangement.

Sources: Coles Group, 2027 First Quarter Sales Results release and ASX cover letter, 30 October 2026 (13 weeks from 29 June to 27 September 2026; ASX ID 03159755). Comparable growth, inflation and eCommerce figures are as defined by Coles. Calculation: 355 - 11 - 98 = 246; 11,209 - 10,963 = 246. Share price data is not used. General information only. Not financial advice.

Online is growing fast, but fuel costs and promotions point to flat first half EBIT

SUPERMARKETS ECOMMERCE, $ MILLION — REPORTED



Up 22.9%. Coles says eCommerce includes Liquor sold through coles.com.au. eCommerce sales rose $302m against a $355m rise in total Supermarkets sales, so online is a large share of the growth, though the two figures are not strictly like for like.

SUPERMARKETS PRICE INFLATION, % — REPORTED

MEASURE	1Q26	1Q27
Total inflation	1.6	1.1
Excluding tobacco	1.2	1.0
Excluding tobacco and fresh	0.9	0.7

Coles says inflation was driven by dairy and meat cost increases and moderating deflation in fresh produce, partly offset by deflation in non-food. It also says its own price investment helped keep the headline rate down. The release does not split sales growth between price and volume.

THE FIRST HALF OUTLOOK, IN ORDER — EXPECTATION, NOT RESULT

1Q27 (to 27 Sep)
Supermarkets +3.6%

First 4 weeks of 2Q27
Resilient, growth below Q1

Fuel and promotions
Fuel up over last two months

1H27
EBIT in line with 1H26

What management said

Cost-of-living pressure and elevated competitor promotions are still shaping customer behaviour. Supermarkets sales have “remained resilient”, but growth “has moderated compared to Q1”. Coles has relaunched its Every Day Price program and launched its largest-ever Exclusive to Coles Christmas range.

Fuel and EBIT

Geopolitical uncertainty has pushed fuel prices up over the last two months, and Coles expects additional fuel-related costs in the first half versus the prior period. “As a result”, it now expects first half Supermarkets EBIT, excluding significant items, to be in line with the prior corresponding period.

Liquor and Other

The Liquor sales decline in early 2Q27 was broadly in line with Q1. In Other, Viva Energy PSA revenue was $58m in 1Q27 and is expected to fall away as the agreement expires in November 2026. The release gives no dollar profit figure for it.

Not disclosed

The dollar size of the fuel cost impact, what Coles previously expected for first half EBIT, any Liquor or Group profit measure, and a price and volume split of sales growth.

Investment and loyalty

Eight new supermarkets opened and seven renewals were completed. Flybuys swipe rates rose 110 basis points and the value of points redeemed rose 16%.

Q2 sales growth

Does Supermarkets growth hold above inflation of about 1% through Christmas?

Fuel costs

How large is the first half cost, and does it reverse if fuel prices ease?

Value investment

Do Every Day Price and own-brand ranges win volume without cutting margin further?

Half-year result

The first half result is the first test of the flat EBIT expectation.

TAR TAKE — OUR INTERPRETATION

Coles is still growing: Supermarkets sales rose 3.6%, eCommerce rose 22.9% and Exclusive to Coles ranges are outgrowing the store. But comparable growth has slowed to 2.7%, growth moderated compared with Q1 in the first four weeks of the second quarter, and Coles now expects first half Supermarkets EBIT to be flat. Management says it is investing more in value and facing higher fuel costs. The next evidence is the half-year result, which will show whether lower prices and fuel costs are absorbing the growth in sales.

Sources: Coles Group, 2027 First Quarter Sales Results release (ASX, 30 October 2026), including the Outlook section and Appendices 1 and 3. Calculations: eCommerce 1,623 - 1,321 = 302; Supermarkets 10,320 - 9,965 = 355. Expectations are not guarantees. Market prices and share price moves are excluded. General information only. Not financial advice.